

8. 9:00 AM CASE NUMBER: C23-00009
CASE NAME: MICHELLE DALY VS. MICHAEL VISTNES, M.D.
HEARING ON SUMMARY MOTION SUMMARY JUDGMENT/MOTION FOR SUMMARY
ADJUDICATION (SEE 4/29/26 HEARING)
FILED BY: VISTNES, M.D., MICHAEL DEAN
TENTATIVE RULING:

On the Court's own motion, the hearing on this motion is continued to September 30, 2026, at 9:00 a.m., in Department 16. No appearance is required on September 16, 2026.

9. 9:00 AM CASE NUMBER: C23-00009
CASE NAME: MICHELLE DALY VS. MICHAEL VISTNES, M.D.
HEARING ON SUMMARY MOTION FOR SUMMARY JUDGMENT/ADJUDICATION FILED
FILED BY: WHEATON, R.N., JEFF
TENTATIVE RULING:

On the Court's own motion, the hearing on this motion is continued to September 30, 2026, at 9:00 a.m., in Department 16. No appearance is required on September 16, 2026.

10. 9:00 AM CASE NUMBER: C23-02401
CASE NAME: KIARA ROSS VS. KOTLIER ERNEST M.
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL (SET BY THE COURTROOM)**
FILED BY:
TENTATIVE RULING:

SUMMARY

Plaintiffs Kiara Ross, Felicia Costa, and Mark Piepowski ("Plaintiffs") Motion for Preliminary Approval of Class Action Settlement with Defendants Sequoia Equities, Incorporated and Alder Creek Management, Inc.'s (jointly referred to as "Sequoia Equities") is granted as set forth herein. No appearance is required at the hearing on September 16, 2026.

BACKGROUND AND KEY TERMS

This class action arises from Sequoia Equities deposit administration practices at approximately 67 California apartment complexes. Plaintiffs who are former tenants at Sequoia Equities managed properties, allege systematic violations of California Civil Code § 1950.5. Specifically, Plaintiffs contend that Sequoia Equities uniformly failed to provide itemized statements with supporting vendor invoices within the statutorily mandated 21-day period after tenants vacated, and improperly reported unsubstantiated alleged debts to collection agencies, damaging tenants' credit.

The litigation commenced in September 2023. Following initial discovery disputes, the parties entered into a comprehensive stipulation in December 2024, streamlining the case for mediation. Pursuant to that stipulation, Defendants produced a randomized 20% sample of tenant files comprising over 608,000 pages of documents, including Final Accounting Statements ("FAS Packets"). Plaintiffs' counsel manually reviewed 1,048 FAS Packets and determined that approximately 85.6% were non-

compliant with Civil Code section 1950.5, as they lacked required vendor invoices and instead contained only internally generated estimates or rate sheets.

The parties participated in a full-day mediation on October 17, 2025, before the Honorable Peter D. Lichtman (Ret.). Though mediation did not immediately produce settlement, the parties accepted Judge Lichtman's mediator's proposal on November 26, 2025. Following months of negotiation, the parties executed a comprehensive Settlement Agreement.

The Settlement creates two subclasses: (1) the Security Deposit Class, comprising approximately 15,000 former tenants whose leaseholds terminated between September 25, 2019, and the date of preliminary approval, who had in excess of \$125 deducted from their security deposits without receiving supporting invoices; and (2) the Defamation Class, comprising approximately 2,000 former tenants who were reported to collection agencies for alleged post-deposit balances. The Defamation Class excludes debts reduced to judgment.

The Gross Settlement Amount totals approximately \$3.1 million, consisting of \$1.8 million in cash and \$1.3 million in debt relief for the Defamation Class. After deductions for settlement administration costs (capped at \$50,000), attorneys' fees (up to 33.3% of the Total Settlement Amount), litigation expenses, and service payments to the three Named Plaintiffs (capped at \$10,000 each, totaling \$30,000), the Net Settlement Amount will be allocated 90% to the Security Deposit Class and 10% to the Defamation Class.

The Security Deposit Class will utilize a claims-made distribution structure, with estimated individual recoveries between \$132.14 and \$480 assuming a 10-35% claims rate. The Defamation Class will receive automatic pro rata distributions without a claims process, with estimated individual recoveries of approximately \$660 (comprising debt relief and cash). Defendants have agreed to cease all collection efforts against Defamation Class members. Unclaimed funds from the Security Deposit Class will be distributed via cy pres to the California State Bar Justice Gap Fund, with no governance role for the parties or counsel.

The Settlement provides a broad release of all claims arising from or relating to the facts alleged in the operative complaint, including claims under Civil Code section 1950.5, the Unfair Competition Law (Bus. & Prof. Code §§ 17200 et seq.), Negligence, and Defamation. The Named Plaintiffs will execute broader general releases with Civil Code section 1542 waivers. The Settlement is contingent upon preliminary and final approval by this Court, and the parties stipulate to conditional class certification for settlement purposes only.

The proposed notice program includes direct mail and email distribution by Xpand Legal, a third-party administrator with experience in Section 1950.5 class actions, with notice translated into Spanish. Class members will have 45 days to opt out or object. The parties seek preliminary approval, conditional class certification, approval of the notice program, and scheduling of a final approval hearing.

ANALYSIS

The primary determination is whether the proposed settlement is "fair, reasonable, and adequate" under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801. The factors include "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of

maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also, *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521)

California law provides guidance concerning judicial approval of class action settlements. First, public policy favors settlement (*Neary v. Regents of Univ. of Cal.* (1992) 3 Cal.4th 273), but the court must not approve an agreement contrary to law or public policy (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127). Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*Cal. State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) Consequently, courts have noted that *Neary* does not apply where public rights are implicated, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorneys' Fees

Plaintiff seeks attorney fees of \$599,400.00 representing one-third of the total settlement amount of \$1.8 million, relying on the common fund doctrine. Even under the common fund theory, however, the fee award should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the lodestar cross-check as a method to determine whether the percentage allocated is reasonable. The Court stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.* at p. 505.) Following typical practice, however, the Court will not consider the fee award at this preliminary approval stage, but reserves review for final approval.

Similarly, reasonable litigation costs and the requested representative payment of \$10,000 for each named plaintiff will be reviewed at the time of final approval. Criteria for evaluating representative payment requests are discussed in *Clark v. American Residential Services, LLC* (2009) 175 Cal.App.4th 785, 804-807.

The Court having considered Plaintiffs' Unopposed Motion for Preliminary Approval of Class Action Settlement, the Memorandum of Points and Authorities, the Declaration of Jeffrey L. Hogue, the Class Action Settlement and Release Agreement and Addendum, all exhibits thereto, and the files and records in this action; and good cause appearing therefor, the Court finds and orders as follows:

CONCLUSION AND ORDERS

1. The Court conditionally certifies the following Settlement Classes pursuant to Code of Civil Procedure section 382 and California Rule of Court 3.769 for settlement purposes only:
 - a. Security Deposit Class: All former tenants of Defendants' California properties whose leaseholds terminated between September 25, 2019, and the date of preliminary approval of this Settlement, and who had in excess of \$125 of their security deposits retained for cleaning, repairs, and/or replacements combined, without supporting invoices as required by Civil Code section 1950.5.

b. Defamation Class: All former tenants who were reported to a collection agency as a result of any monies allegedly owed for turnover charges after disposition of their security deposit(s), excluding any debts that have been reduced to judgment, between September 25, 2019, and the date of preliminary approval.

2. The Court finds that the Settlement Classes satisfy the requirements of Code of Civil Procedure section 382: (a) the classes are sufficiently numerous (approximately 15,000 Security Deposit Class members and 2,000 Defamation Class members), making joinder impracticable; (b) common questions of law and fact predominate concerning Defendants' uniform security deposit administration practices and collection reporting procedures; (c) the claims of the Named Plaintiffs are typical of the Settlement Classes; and (d) the Named Plaintiffs and Class Counsel will adequately represent the Settlement Classes' interests. The Court further finds that a class action is superior to other available methods for the fair and efficient adjudication of this controversy.

3. The Court preliminarily approves the Class Action Settlement and Release Agreement, including Addendum No. 1 (collectively, the "Settlement Agreement"), attached as Exhibit 1 to the Declaration of Jeffrey L. Hogue, as fair, reasonable, and adequate within the meaning of Code of Civil Procedure section 382 and California Rule of Court 3.769.

4. The Court finds that the Settlement is the product of serious, informed, non-collusive, arms-length negotiations conducted by experienced counsel, with the assistance of a neutral mediator, the Honorable Peter D. Lichtman (Ret.).

5. The Court finds that the \$3.1 million gross settlement (\$1.8 million cash plus \$1.3 million debt relief), with the Net Settlement Amount allocated 90% to the Security Deposit Class and 10% to the Defamation Class, falls within the range of reasonableness considering the risks of continued litigation, the strength of Plaintiffs' claims, the stage of proceedings, and the substantial benefits to be provided to the Settlement Classes.

6. The Court finds that the Settlement is contingent upon final approval by this Court and that the parties have stipulated to conditional class certification for settlement purposes only.

7. The Court approves the notice program described in the Settlement Agreement and designates Xpand Legal, Consulting as the Settlement Administrator.

8. The Court finds that the proposed notice, distributed via direct mail and email to the last known addresses of Settlement Class Members, with publication on a dedicated settlement website and translation into Spanish, constitutes the best practicable notice under the circumstances and satisfies the requirements of California Rule of Court 3.769(f) and due process.

9. The Court finds that the notice fairly apprises Settlement Class Members of: (a) the nature of the action and the Settlement; (b) their right to opt out of the Settlement; (c) their right to object to the Settlement; (d) the procedure for submitting claims (for Security Deposit Class members); and (e) the date of the final approval hearing.

10. A hearing for final approval of the Settlement ("Final Approval Hearing") will be scheduled in

Department 16 no later than one (1) year from the date of entry of this order. Counsel shall contact the Departmental Clerk to request a hearing date.

11. The Court will consider at the Final Approval Hearing: (a) whether to grant final approval of the Settlement; (b) any objections thereto; (c) the application for attorneys' fees and costs; and (d) the applications for service payments to the Named Plaintiffs.

12. The Settlement Administrator is authorized to administer the Settlement in accordance with the terms of the Settlement Agreement, including: (a) processing and verifying claims; (b) calculating pro rata distributions; (c) maintaining the Qualified Settlement Fund; and (d) distributing funds to eligible Settlement Class Members.

13. The Settlement Administrator shall file with the Court and serve on Class Counsel and Defendants' Counsel periodic reports regarding the claims process, including the number of claims received, approved, and denied.

14. Settlement Class Members who wish to exclude themselves from the Settlement must submit a written request for exclusion postmarked no later than 45 days from the date of mailing of the notice, or such other date as the Court may establish.

15. Settlement Class Members who wish to object to the Settlement must file their objections with the Court and serve them on Class Counsel and Defendants' Counsel no later than 30 days prior to the Final Approval Hearing, or such other date as the Court may establish.

16. If the Settlement is not finally approved, or if the Court's approval is reversed or vacated on appeal, this Order shall be vacated, the Settlement shall be null and void, and the parties shall resume litigation as if no settlement had been reached. The conditional class certification granted herein shall not be binding in any subsequent litigation.

17. Counsel are directed to prepare an order reflecting this ruling, the other findings in the previously submitted proposed order, attaching a copy of this ruling. Where there is a conflict in the provisions of the proposed order and this ruling, the terms of this ruling prevail.

18. No appearance is required at the hearing on September 16, 2026.

11. 9:00 AM CASE NUMBER: C24-00068

CASE NAME: JOSHUA LOPEZ VS. VEOLIA NORTH AMERICA, LLC., A DELAWARE LIMITED LIABILITY COMPANY

***HEARING ON MOTION IN RE: FINAL APPROVAL HEARING (SET BY THE COURTROOM)**

FILED BY:

TENTATIVE RULING:

Summary

Plaintiff Joshua Lopez, on behalf of himself and those similarly situated ("Plaintiff") Motion for Final Approval of the Class Action and PAGA Settlement against Defendant Veolia North America LLC ("Defendant") is approved pursuant to the ruling herein.